The constitution makers understood the importance of economic development along with guaranteeing social justice. Thus planning was considered essential for the long term development. Accordingly, the Government of India adopted planning as a means of fostering economic development. The Planning Commission was set up with the objective of increasing production so that higher levels of national and per capita income could be achieved. It aimed at guaranteeing employment and narrowing the gap between the rich and the poor. It also aimed at establishing an egalitarian society by giving a wider role to the state so that the goal of socio-economic justice could be guaranteed and economic development could be realised.

## 8.2 Planning Commission of India

The Planning Commission of India was set up in March 1950 by a resolution of the Government of India under the chairmanship of Pandit Jawaharlal Nehru - the first Prime Minister of India, to prepare a plan for the "most effective and balanced utilization of the country's resources". The Planning Commission played an advisory role with regard to the formulation of the plans. It was the duty of the Central and state governments to implement the planning programmes.

**Activity**

Identify the specific target and achievement focus of each of the 12 Five Year Plans.

### Functions of Planning Commission

The Planning Commission had the function of assessing the resources of the nation so that they could be developed for the future needs of the country. These included material, capital and human resources. It was the primary duty of the Commission to prepare the plans so that these resources could be used in an effective and balanced manner. The resources had to be allocated among various sectors as per priorities and the stages of progress and completion of programmes was to be laid down to the Commission. The Commission had to identify the conditions and issues that would be a hindrance for development.

**Activity**

**Think-Pair-Share**

**Topic 1 :** Human development is the essence of social development

**Topic 2 :** Money cannot buy all the goods and services that one needs to live well.

It had to examine the ways by which the plan could be effectively implemented in the prevailing conditions of the nation. It also determined the stage by stage execution of the plan. The planning process had to be assessed periodically so that right strategies could be used to implement the plans. In the process, the Planning Commission had the function of advising the central and state governments with regard to the appropriate strategies of planning. The Commission also had to analyse particular issues and advice on it to the government. It was the role of the Commission to determine the rate of growth of the economy specifying the targets of the plan period for every sector.

### Composition and Organization

The Planning Commission consisted of the Prime Minister and four full time



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